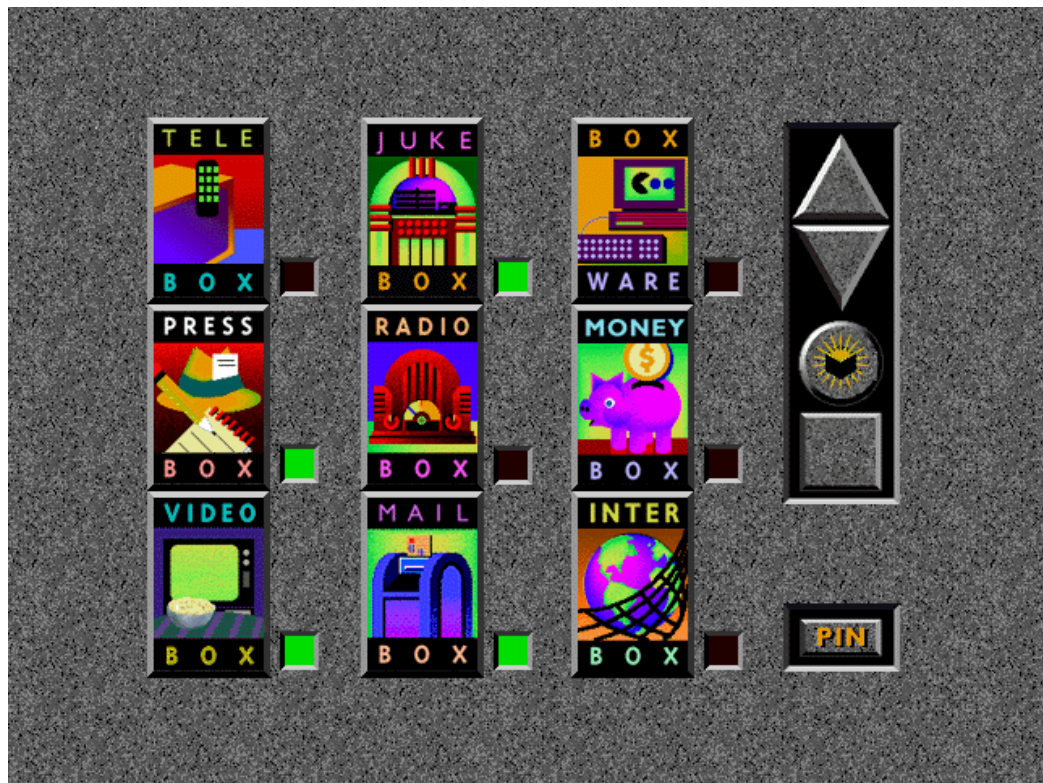


OmniBox Inc.

Confidential Business Plan

January, 1997



OmniBox™ Network Main Menu

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Part One

Overview

Introduction

OmniBox, Inc. was formed in 1987 to develop an infrastructure for delivering digital, interactive content to consumers in the home. The company holds three patents for software distribution, digital compression and transactional processing — key enabling process technologies for the development of and participation in a potential 100-million U.S. household electronic commerce market. Based on these proprietary technologies, OmniBox has developed a unique service and delivery infrastructure that is attractive to advertisers and consumers; one that will accelerate the ability of cable and satellite TV operators to generate new revenue streams from home-based electronic commerce. With unique technology enabling an exceptionally low cost structure, the OmniBox™ Interactive Broadcasting Network* is well positioned to become an early leader in the emerging market for *interactive television plus electronic commerce*.

Having successfully developed and field-tested the key components of its network infrastructure, OmniBox, Inc. seeks \$7 million in funding to support the national roll out, marketing and sales of the OmniBox Interactive Broadcasting Network in 1997.

Poised to Enter the Market

1987 - 1995 *OmniBox's founder and principals develop and prove the technology*

1995 - 1997 *An expanded team validates the market, resulting in signed and near-signed contracts and dozens of letters of intent*

1997 -- 1999 *With a strong management team, proven technology and near-term customer prospects, OmniBox is ready to turn on the network -- and the revenue stream*

* OmniBox Interactive Broadcasting Network (also referred to as OmniBox Network or OmniBox) is a trademark of OmniBox, Inc.

Executive Summary

If the growth of the Web market has been explosive, the growth of OmniBox's market — the convergence of interactive television and electronic commerce providing a new class of home-based entertainment and services — could be even greater. The simple reason is demographic: while computers can be found in over 30 percent of U.S. homes (Statistical Research, Inc., 1995), every household that cares to has one TV -- if not more. Industry analysts therefore agree that television will play a major role in home electronic commerce. Most also predict that the growth of the TV-Web market, soon evolving to interactive TV, will depend more on cable and telco operators' ability to roll out services than on educating and convincing consumers. Intel estimated that in 1994, 26 million homes already had both a PC and cable.

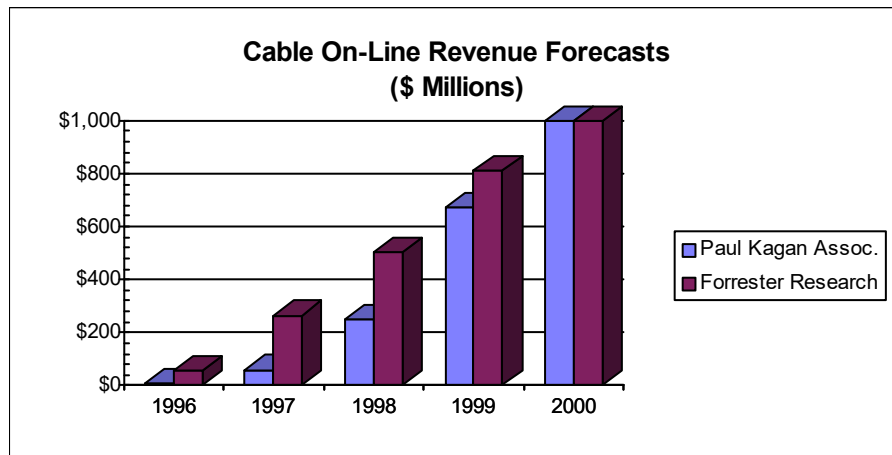


Figure 1 — Cable TV On-Line Revenue Forecasts by Two Market Research Firms

Pilot programs by cable TV, telephone, direct-satellite and wireless-TV companies indicate that consumers want, and will pay for, more and better home services. Market researchers project a \$1 billion market for on-line, interactive services by the year 2000 (see Figure 1). The ability to engage and delight consumers is the critical factor for success. This will require more enticing Internet sites with greater audio/video content; more television channels to deliver a wider variety of content and services; a means to interact with the television's set-top box; a non-computer-like means of navigating the wealth of content options; and a secure mechanism for carrying out consumers' requests to order up a pay-for-view show or a new CD. What's needed to ignite the market isn't consumer appetite but a comprehensive architecture for delivering content, goods and services to the shopper of the future; an infrastructure of field-tested, market-ready, affordable components that can be implemented today.

This is what OmniBox provides for cable, direct broadcast satellite (DBS) and other system operators hoping to participate in a potential multi-billion dollar market.

The OmniBox Network represents something no other supplier can offer — an infrastructure for home-based electronic commerce conducted over the Internet or interactive television that can be implemented with minimal capitalization, *today*. The key components of this new network include:

- **OmniBox-Produced and -Syndicated Content** OmniBox and the broadcast operator will enjoy revenue from home shopping services, digital recording distribution, and pay-per-view programming delivered to subscribers through their PCs or TVs: **Satellite JukeBox™**,* OmniBox's patented way to deliver music albums electronically to the home for on-line sampling, purchase, downloading and recording; **MailBox™*** home shopping services for interactive home shopping through media-rich catalogs and infomercials; and, **VideoBox™*** for previewing and downloading movies, broadcast events and concerts will be the first services to debut. Other interactive television services and products are planned.
- **Consumer Software Interface** A major requirement for growing the electronic commerce market from its presently limited base of computer users to a massive base of TV viewers is an easy means of content navigation and interaction. Web TV proved that today's keyboard-oriented browser is too complex to win mass appeal. OmniBox has the right answer: a simple yet powerful consumer interface that's as straightforward as any TV remote control with the added security of a credit-card swipe -- devices familiar to consumers throughout the world.
- **A Transaction Processing Network** Home-based electronic commerce will entail volumes of consumer transaction requests that require switching, billing and order processing systems that most broadcast operators lack. OmniBox's patented transaction processing system allows consumers to purchase virtually any product or service through their TV or PC. The transaction passes securely via cable modem or telephone to a financial services provider, which authorizes the transaction, places the order with the vendor, and credits the broadcast operator with a percentage of the transaction. OmniBox's intelligent TV remote, which works with OmniBox-enabled set-top boxes and PCs, has a built-in, retail-store-quality, credit- and smart-card magnetic-stripe reader — a reliable, widely accepted means of authorizing home shopping purchases.
- **Compression Technology** OmniBox's proprietary compression technology solves a major barrier to digital, interactive TV for cable operators by allowing the side-by-side broadcast of analog and digital signals. In 1995, OmniBox became the first system supplier to successfully demonstrate this integration on Time Warner Cable's Quantum system in New York City. This technology allows operators to add digital channels incrementally (achieving at least ten digital channels for each analog one) using their existing cable infrastructure. As multiple digital television services replace each precious analog channel, the operator gains immediate access to a wealth of new content and advertising opportunities and to the transaction-based profit streams they generate. OmniBox's compression hardware and software work with industry standards such as MPEG-2, enabling operators to control the digital encoding and broadcasting of their programming in *real time* at the local level and at a cost far less than MPEG encoders while providing superior picture quality, shrinking video images up to 100-to-1. Importantly, the company can roll out a major portion of the OmniBox Network on existing in-home analog set-top boxes and on PCs.

* Satellite JukeBox, MailBox and VideoBox are service marks of OmniBox, Inc.

- **Subscriber Set-Top Boxes and Remote Control** OmniBox's high-performance, low-cost digital receivers/decoders include a credit/debit/smart card reader and allow add-on modular devices such as CD-ROM players and recorders, video recorders, game cartridges, printers and keyboards.
- **An Optional IBM-Compatible-PC Add-In Board** endows any PC with all of the functionality of a digital set-top box. PC owners can interact with OmniBox Network content using their monitors as TVs, or, with the appropriate software, over the Internet. OmniBox's video streaming capability coupled with embedded World Wide Web links enables a new class of Internet applications beyond today's static graphics. Affluent households with PCs could thereby become an immediate market for satellite and cable providers who use OmniBox — before the market for digital set-tops matures in two years.

OmniBox plans to roll out its first-stage offering in mid-1997, targeting the small- to medium-sized cable operator, direct broadcast satellite (DBS) operators, and multiple dwelling units (MDUs) such as hospitals, dorms, and hotels as prospects. The company will emphasize the Internet as a ready market for honing the delivery and services that comprise the OmniBox Network. At the same time, OmniBox will continue to develop cable TV, direct broadcast satellite and other broadcast opportunities, huge markets that may take longer than the Internet to develop.

OmniBox, Inc. revenues will first come from:

- Monthly subscriber fees from cable operators with analog set-tops, PCs, and satellite operators with already-installed digital set-tops;
- Providing transaction processing capabilities for consumer services;
- The sale of digital transmission equipment to operators.

With the second phase of network implementation in 1998, additional revenues will come from:

- Subscription fees based on the installation and use of consumer digital set-top boxes;
- Producing original programming and associated user transactions;
- Managing digital transmissions for third party programmers.

OmniBox projects \$7.08 million in net income from gross sales of \$27.78 million in 1997; and \$36.1 million net income in 1998; and net income of \$110 million in the fifth year of operation (2001).

OmniBox seeks a \$7 million equity investment to commence operations of the OmniBox Network in 1997. Having the network in operation will:

- support early customer operations;
- provide an outlet for content providers;
- demonstrate a working system to customer prospects; and,

OmniBox, Inc.

- serve as a test bed for technical support and next-stage product development. The funding will also be used for telemarketing, advertising and publicity campaigns to prime the revenue stream.

Part Two

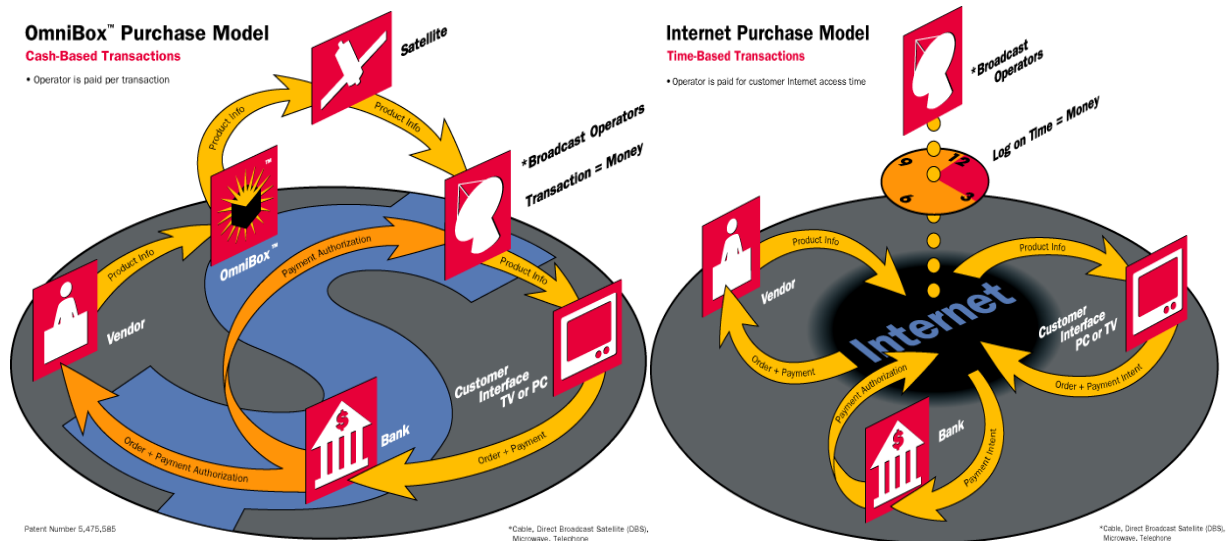
Market Dynamics

The Target Market: Interactive Television Plus Electronic Commerce

A 1996 report by Frost & Sullivan projects the market for interactive television and associated advertising to reach \$1 billion by 2002. Three factors are driving this market — first, the intense communications-industry competition to ‘own’ the communications gateway into consumer’s homes; second, a consumer demand for interactive home electronic services; and third, new technology that can affordably deliver these services to the home in new ways.

The race is on among cable, satellite and telephone operators to build what is known as the *Full-Service Network*, an infrastructure that integrates cable, telephone and computer technologies so that subscribers can access everything from a Sharper Image catalogue to computer games and food delivery services. Time Warner has rolled out its interactive, digital multi-media network on a limited basis to 4,000 subscribers in Orlando, Florida; while U.S. West and Bell South are testing similar networks of their own. But industry analysts and operators alike agree that the time and cost of building a fully integrated, two-way infrastructure has delayed what all believe is the ultimate convergence of today’s separate TV, telephone and computer communications networks. Thus, the trend among suppliers is to deploy their home-based electronic commerce offerings via the Internet based on the infrastructure that currently exists.

How OmniBox Supports Home-Based Electronic Commerce



Initial Market is PC-Centric

While the OmniBox Network is ideally suited for cable operators, these companies have been slow to roll out digital TV offerings, constrained by the need to purchase millions of just-available set-top boxes. OmniBox’s *PC add-in* product allows the company to build a revenue stream immediately and separately from the market for set-top boxes. Coupled with the OmniBox remote control and patented transaction processing scheme, the PC add-in opens secure electronic commerce to the Internet. The ability of an OmniBox set-top or PC add-in to

operate as an Internet download mechanism adds significant attractiveness to operators and consumers because it brings the Internet's multimedia into the home at the highest speeds available. The size of the cable modem market, projected at over 1 million units for 1996 and 1997, is indicative of the intense consumer demand for a high-speed Internet download capability.

Thus, OmniBox's PC add-in acts as a hedge against risks in a rapidly metamorphosing market -- if cable operators delay choosing and deploying set-tops in 1997, OmniBox can still deploy and pilot the OmniBox Network using PC-based customers. (The company's recently inked contract with Campus TeleVideo typifies this scenario.) Most Intel-based PCs shipped since 1995 are capable of supporting an OmniBox set-top upgrade, and industry analysts are uniformly glowing in estimates for future growth in home PCs driven by education, multimedia, and Internet access services.

The Target Prospect: Cable and Satellite TV Operators

A 1995 survey by Statistical Research, Inc. found that 25 percent of today's households could support an interactive delivery system requiring a co-located TV, phone line and PC, while over 80 percent could use a system requiring only a co-located TV and phone line, and 75 percent could receive interactive TV delivered over a cable network. These household market proportions help explain why the OmniBox Network infrastructure is optimized to provide interactive electronic commerce and services for the 11,000 cable operators serving 60 million subscriber households across the U.S. With decades of entertainment industry experience among its senior management, OmniBox knows what this target prospect needs.

Cable operators face the challenges of providing additional digital channel capacity to deliver the range of services that subscribers demand; of handling the millions of transactions that interactive television will generate; and of defending their subscriber base from telco, Internet service provider (ISP) and direct broadcast satellite (DBS) operators while they find the capital outlays necessary to increase their systems' capacity and interactive intelligence. Reducing and in some cases eliminating the cable operator's biggest barrier to interactive television -- the capital cost of rewiring cable trunk lines, switching networks, video servers and set-top receivers -- is OmniBox's key market appeal.

OmniBox enables cable operators with older coaxial plants and analog set-top boxes to add revenue-generating channels with no rewiring from the head-end to the digital set-top box or home PC. The most obvious applications for these added digital channels are extensions of existing home markets -- video on demand, interactive retailing and information retrieval (downloads), video gaming, financial services and similar applications for which the TV rather than the PC will likely be the information appliance of choice.

The OmniBox Network will also appeal to:

- Satellite, wireless and telco operators, who can inject OmniBox or local content into their programming mix and derive revenues from transactions split between OmniBox and the operator;
- Global 1000 corporations, for whom the OmniBox Network can serve as a software and multimedia-content distribution mechanism (for example, to broadcast real-time video news

feeds or distribute software upgrades to thousands of customers in minutes without shipping, packing or handling);

- Other companies evaluating a large Internet electronic commerce investment, for whom OmniBox represents a fast, inexpensive Internet connection with an opportunity to trial a state-of-the-art content-delivery and secure transaction processing facility.

Early OmniBox Adopters

In 1996 OmniBox's market validation activities resulted in several signed and/or near-signed contracts and dozens more letters of intent that provided a finer-grained view of the company's near-term customer prospects:

Direct Broadcast Satellite Operators DBS operators offer early revenue potential for OmniBox because the set-top boxes are already there. While the cable industry goes through its digital conversion, Primestar, DirecTV, EchoStar and AlphaStar have mounted aggressive marketing campaigns to woo cable subscribers with more channels and digital transmissions. Janco Partners, a Denver-based research firm, estimates the DBS subscriber base will grow to 15 to 20 million by 2002. But other industry watchers believe that cable subscribers are unlikely to view digital transmission as important enough to purchase the additional equipment needed to receive the DBS signal -- unless those transmissions include new services such as interactive home shopping, digital music sampling and purchase, and Web surfing. OmniBox brings these services to the DBS value proposition, either by tying a PC into the DBS or using the DBS set-top as a receiver.

DBS operators aren't the only ones eager for new content and service options to stimulate consumer demand. Hardware manufacturers such as Gateway 2000 are considering driving through the DBS receiver to their wide screen TVs and PCs.

Small to Mid-Sized Cable Operators Approximately 11,000 cable systems in the small to mid-sized category serve 20 million U.S. cable subscribers; in fact, 90 percent of TCI's systems have 20,000 subscribers or less. The entire cable industry is being squeezed on the one hand by FCC rulings that limit cable revenues from basic services, and on the other hand by the capital outlays needed to seek revenue from alternative services like interactive TV. But while the Time Warner's with their large subscriber base and the cash-rich telcos can afford to underwrite these services, smaller operators with their limited subscriber base cannot raise the capital to finance new head-end equipment or the \$300-and-up set-top boxes that would provide digital interactive services to subscriber homes. Without a solution to deliver the content and services consumers demand -- and that DBS and telco suppliers are also ramping up to offer -- these small operators will slide into a going-out-of-business position. Thus, for a tiny sub in Idaho to offer a cable modem and set-top capability in one box would be a huge win. This is OmniBox's early adopter, for whom an early, low-cost entry into interactive television has the most powerful appeal.

Multiple Dwelling Units (MDUs) Bars, hotels, hospitals and colleges with closed cable systems are another ready market for the OmniBox™ Network. For example, Campus Televideo, a Greenwich, CT-based provider of networking services to over 100,000 students in North America, will deliver the OmniBox Network directly to students' PCs via the Ethernet

ports in their dorm rooms. In this application, students need only their PC and the OmniBox software to receive the service, so there is no need for the customer to purchase set-top boxes.

1997 To-Market Strategy

Focusing on these smaller MSU operators in 1997, OmniBox will offer a \$175 set-top-and-financing package that requires only a \$100 capital outlay (what the operator currently pays for analog set-tops) and bank financing for the remaining \$75-per-box. The company is currently negotiating a leasing program with a number of institutions that have strong financial ties to the cable TV industry. The small loss taken by OmniBox on the set-top box will be more than made up for as revenues begin to flow from subscribers generating OmniBox Network transactions and monthly royalties. See Financials section.

An ideal next-stage prospect, for example, is the smaller operator that a Big Five cable conglomerate will bypass in the initial roll-out of its Full Service Network. As the Big Five moves to protect large-city franchises and recoup costs from their dense subscriber bases, OmniBox will prospect among the smaller franchises concerned with generating more income for the lowest possible capital cost. Implementing a typical Full Service Network such as Time Warner's is estimated to cost \$50,000 per video stream for real-time encoding alone, without file servers, sophisticated switching networks, amplifier overhauls and other system costs. Operators can implement the OmniBox Network for \$10,000 per video stream and no head-end costs.

Additional Opportunities -- 1998 and Beyond

OmniBox's cable/DBS operator focus will enable it to become a profitable operation within a relatively short investment horizon. However, several markets that may take longer to develop also hold significant revenue potential for the company and are briefly described below:

Corporate Applications — Large enterprises and IS organizations can use the OmniBox Network as a software and multimedia-content distribution mechanism. Software manufacturers for example can mass-distribute product upgrades to thousands of customers in minutes without disks or shrink-wrapping — or electronically deliver to the retail point-of-purchase without having to stock actual copies of the products. Corporations can broadcast software, computer-based training, real-time video news feeds, or electronic files and documents to an unlimited number of locations at speeds (for large files) over 100 times that of today's typical transmission mechanism. Transmission fees are low enough to accommodate individuals and businesses of all sizes more effectively than point-to-point service. OmniBox can also support more cost-effective hotel video-on-demand, sports-bar direct-satellite feeds, or home movie-theater previews.

Mass-Market Content Distribution The OmniBox Network's compression and store-and-forward capabilities create an opportunity for the company to pioneer the mass-market distribution of computer software, audio CDs, and even short videos. Although untested, this market has potential in the \$100 million-and-up market range by the year 2000. The two key enablers will be \$300 (retail) CD-ROM recorders (estimated in 1998) and greater digital bandwidth into the home (1996 and after).

International Markets Most industry observers view foreign markets such as Latin America, where nearly 80 million households have televisions but only 11 percent subscribe to

OmniBox, Inc.

any pay-TV service, as virgin markets for pay-TV services (a \$3.4 billion worldwide market in 1994). OmniBox is pursuing contract negotiations in the other markets that validate the demand for info-tainment services delivered via satellite media in the absence of strong wired communications infrastructures.

Part Three: Market Positioning

The OmniBox Value Proposition

- OmniBox has clear market appeals and competitive advantages in the following areas:
- ***Lowest cost solution*** -- For cable operators, the combination of no head-end rewiring, an economical \$10,000-per-video stream encoding cost, and set-top financing represents the most affordable solution available.
- ***Immediate digital capability with minimum capitalization*** -- Operators can achieve a minimum of 10 new digital channels for each analog channel replaced and can effect this replacement incrementally, continuing to broadcast both analog and digital programming until the conversion is complete.
- ***Near-term realization of interactive TV*** -- OmniBox systems can be installed and implemented *now*. Smaller operators can begin building new revenue streams from interactive TV right away -- as opposed to too late or not at all.
- ***Exceptional price-performance*** -- While OmniBox's per-channel cost is 30 percent lower than competing solutions, performance in terms of picture quality and motion compensation is equal to MPEG I and superior to MPEG II.
- ***Local operator control*** -- Unlike a digital full-service network such as Time Warner's, the OmniBox Network allows operators to control the digital encoding and broadcasting of their programming in real time, at the local level. Thus, operators can use existing equipment to inject local ad content into video streams and to change that content — for example, a new sale price on advertised items — in real time.
- ***Access to Internet and online services*** -- Since subscribers can access on-line services such as the Internet through the OmniBox Network, operators have an opportunity to participate in an additional new revenue stream by becoming an Internet Service Provider. In rural locations, this could prove very attractive to consumers who otherwise face long-distance phone calls to their ISPs.
- ***Participation in all revenue sources without administrative overhead*** OmniBox's patented transaction processing system allows operators to receive a fee from subscriber transactions without having to administer consumer transaction requests, switching and billing systems and order processing.
- ***Technological flexibility*** OmniBox Network content can be equally enjoyed with a light-weight Internet client (e.g., a Browser on a PC or on a Network Computer) or broadcast to its own cable hardware or to alternate set-top hardware from Primestar, Phillips and others. OmniBox's technology is also compatible with the telephone lines, satellite, and microwave/wireless transmission vehicles, and could be available for delivery in those vehicles shortly after launch in the cable market.

OmniBox's Competition

Although OmniBox, Inc. faces competition in many of the product areas it plans to address (clearly, set-top boxes and cable modems have attracted big name competitors), no

other business venture to management's knowledge combines the broad scope, technology architecture, near-term deliverable products, and fundamental patents that OmniBox has.

OmniBox is distinguished from its nearest competitor, the Hughes DirecPC satellite information service (and Hughes' companion TV product, DirecTV) by its ability to span both TV and PC; its architectural flexibility across cable, phone line, and satellite; its electronic-commerce support; its breadth of value-added features; and its ability to support rapid third-party development of add-ons.

Similarly, WebTV came to retail stores with limitations of content and usability -- static Web pages too complex to navigate without a keyboard -- that most industry analysts believe will cause it to fade with consumers' 1996 Christmas memories.

Providers of delivery systems — ISP, cable, direct broadcast satellite, and telephony — are themselves beginning to add the software and hardware to combine Internet and TV home-consumer applications. However, their present focus is either on implementing a particular high-speed communications technology — e.g., the cable operators with cable modems, the RBOCs with ADSL and ISDN — or on one or the other of the TV and PC markets. OmniBox differentiates itself here by its focus on higher levels of the communications infrastructure, network-delivery integration, its ability to support multiple high-speed media, its architectural flexibility, its innovative compression and transaction-processing technologies, and, importantly, its low cost of introduction. OmniBox is actually more likely to partner than to compete with these suppliers.

Rolling Out the Network -- A Three-Phased Strategy

The OmniBox set-top design has the dual capability of encoding/decoding both standard MPEG and proprietary digital compression algorithms. While a proprietary set-top box is an integral part of the OmniBox Network's value proposition, management has determined that a phased roll-out based on a "crawl-walk-run" strategy — a strategy that does not depend on the exigencies of set-top box manufacturing or market distribution — is in the best interests of the company, its operator-customers, and investors alike. The three phases and their estimated timetables are:

Phase One, Q2/1997

The initial launch of the OmniBox Network will focus on broadcasting network services to the analog set-top boxes and the PCs currently installed in consumers' homes or businesses. (e.g., Campus TeleVideo, TCI operators, etc.)

Phase Two, Q3-4/1997

Almost concurrently with Phase One, the company will seek broadcast outlets through the existing base of digital set-top boxes (Primestar, GI, etc.) in DBS subscribers' homes. Approximately 4 million digital set-tops sold by the DBS providers are potential customers for OmniBox Network content.

The Phase One and Two strategy of allowing broadcasters a wide range of receiver options makes good business sense for several reasons. First, customers and subscribers (as well as OmniBox) can conduct trials of the OmniBox Network with minimal hardware investment. This gives OmniBox and its investors a head-start over

competitors whose strategy depends on the market's readiness to absorb the cost of a proprietary set-top box.

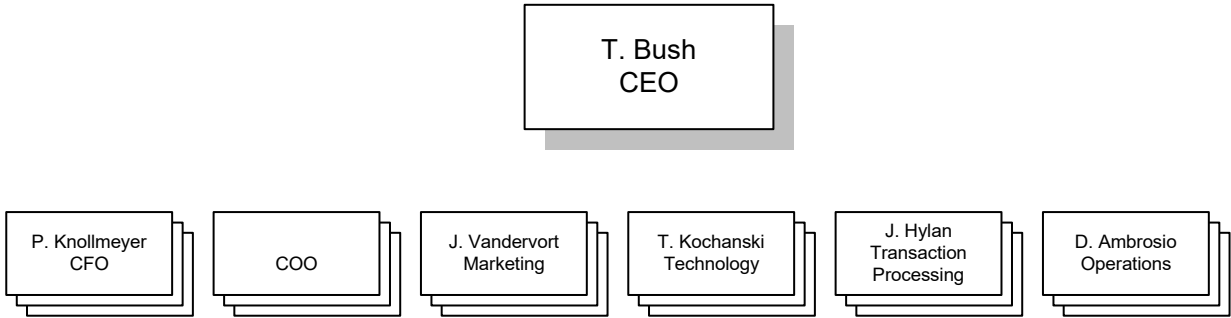
Phase Three, Q2/1998

With the ramp to volume production of its receiver hardware in mid-1998, a competitive set-top box based on its compression technology will be an option for OmniBox. However, market projections for set-tops are so large that many of the world's manufacturers have plans for what they expect will be a high-volume product. Margins could therefore be driven to unattractive levels as has happened in numerous consumer electronic products and in PCs. Rather than compete head-to-head with giant-sized consumer electronics companies, OmniBox plans to position itself as a provider of custom services -- including the design and manufacture of custom set-tops -- based on its unique encoding algorithms and its ability to integrate CD-recorder, dual compression and transaction processing in one set-top unit. Obtaining license revenues for OmniBox technology has lower selling costs than a retail set-top strategy and could become a significant annuity revenue stream.

Part Four: Corporate Profile

The Company

Organization



OmniBox, Inc. Organization Chart

Key Personnel

With the addition of four key executives in Q4/1996, OmniBox has almost assembled the full complement of managerial talent needed to lead the company from its development stage to full-scale operation:

Thomas A. Bush, Chief Executive Officer Mr. Bush, OmniBox’s founder, conceived and designed the interactive service Satellite JukeBox which launched the company in 1987. Along with the pay-per-recording audio system for this service, he developed and received patents for transactional processing and digital communications systems used in the OmniBox interactive broadcasting network. Prior to founding OmniBox, Mr. Bush held senior and chief engineering management positions at Trackworks Recording Studios, Inc. and at Reeves Communications, New York, with responsibility for the full spectrum of post-production activity for television commercial, documentary film, musical scoring and custom projects for HBO, Showtime and other high-profile clients.

Chief Operating Officer (TBA) OmniBox is currently seeking to fill the key executive role of Chief Operating Officer to drive its day-to-day business functions and ensure that they meet the company’s goals as set forth in the OmniBox business plan. The COO’s position requires a minimum 20-year track record of significant achievements at the senior management and executive-levels within the marketing, sales and/or finance operations of a major broadcasting or entertainment industry player. The candidate should have demonstrated experience in successfully leading start-up ventures from the development stage to a fully operational, market-driven enterprise.

Paul R. Knollmeyer, Chief Financial Officer Mr. Knollmeyer brings considerable experience in analytic, business structuring, auditing and negotiating experience in the media and entertainment industries. As a vice president of finance for a private investment and management firm, Mr. Knollmeyer oversaw a portfolio of 15 operating entities in the broadcasting, hospitality and gaming industries. Among his achievements was a merger agreement with a well-known radio broadcasting entity resulting in net profits of \$20 million within 18 months; an \$80 million debt restructuring agreement for below-market terms; and sale of an asset at an 80 percent premium over the historical valuation. Previously, in auditing and

corporate finance positions with a Big Six accounting firm, Mr. Knollmeyer assisted entertainment, broadcasting and media clients in acquisitions of aggregate transaction value exceeding \$600 million. He is a member of the American and the New York Institutes of Certified Public accountants.

John A. Vandervort, Vice President, Marketing Mr. Vandervort has 20 years of outstanding results in senior marketing and sales management positions, the respect of his industry peers and extensive contacts in the cable industry. As Vice President of National Accounts for Viacom/Showtime Networks, Mr. Vandervort increased profitability in a mature market, developing key executive-level relationships among the Multiple Cable System Operator (MSO) companies who control 60 percent of the industry's retail volume -- and who represent a major market for OmniBox. Earlier, in executive sales management positions at Joseph E. Seagram & Sons, Seven-Up Company and Proctor & Gamble, Mr. Vandervort directed new product introductions, created national marketing programs, led national and international sales teams and managed multi-million budgets -- achieving record volume, profits, cost-savings and productivity for these companies.

Thaddeus Kochanski (PhD), Vice President, Technology From complex system architectures to microwave systems design and signal processing, Dr. Kochanski is a master of every technology needed to develop OmniBox's state-of-the-art interactive broadcasting network and maintain its leading edge. His 15-year engineering career combines the intensive, original technological research of a supervisory staff position at MIT's renowned Lincoln Laboratory, with the bottom-line, high-pressured product development engagements of a successful engineering services consultant and entrepreneur. In addition to published papers in engineering and scientific journals, Dr. Kochanski maintains national contacts throughout the computer and telecommunications industries and serves on key committees within numerous engineering professional associations.

John Hylan, Executive Vice President, Transaction Processing Mr. Hylan brings to OmniBox an extensive background in customer service, telemarketing and order processing from his over 20 years of sales and marketing experience. As the senior vice president of sales and service for Synchronal Corporation, an info-tainment and direct response marketing company, Mr. Hylan was responsible for efficient, profitable operation of the telemarketing and fulfillment business units. Earlier, in senior management positions at Dun & Bradstreet and Trans World Airlines, he planned and directed the start-up of an automated business-to-business telemarketing service and oversaw automation marketing. In his own consulting business, Mr. Hylan was instrumental in helping MCI, CNCP Telecommunications and other major corporations launch or refine automated marketing systems, and was engaged as a guest speaker on the subject of telemarketing at executive seminars sponsored by Wang Laboratories

Dominic Ambrosio, Vice President, Operations Mr. Ambrosio has an impressive 15-year record of achievement in operations management for the broadcasting industry. As the Senior Vice President of Operations for Telemation, a commercial broadcast production facility, he grew a local client base of 75 to a base of 600 clients in three years. In previous executive positions at Telemation, Mr. Ambrosio reduced operating expenses by 20 percent, deployed automated systems to increase efficiency by 25 percent, and realized a 30 percent annual savings to the company through contract re-negotiations. Prior to Telemation, Mr. Ambrosio

held director and senior management positions in operations management and production services with United Video Services and The Entertainment Channel, where he was responsible for the flawless delivery of services to a prestigious client roster that included MTV, Nickelodeon, VISA and the New York Yankees.

Engineering and System Integration Capabilities

OmniBox has invested nine years in developing an infrastructure for delivering digital, interactive content to consumers in the home. The result is a core set of proprietary technologies backed by international patents that represent a significant barrier to entry for competing enterprises.

Patents and Licenses

Transactional Processing System

This patented system allows consumers to download virtually anything -- entertainment, tickets, software, financial services -- into a set-top box or PC for browsing and purchase at their leisure. The system transmits the order via telephone modem or other communications channel to the financial institution, which clears the credit and executes the order. Based on experience with its transaction processing partner Bank One, OmniBox's approach should prove attractive to the majority of financial institutions because it provides the high levels of security and privacy of the U.S. -bank electronic funds transfer system. It also speeds payment clearance, minimizing "float", and offers a simpler, more robust two-network architecture. Cable industry-funded market research also indicates that subscribers will react favorably to the simplicity and security of this ordering process, resulting in increased pay-per-view transactions.

Electronic Software Distribution

OmniBox's patented method for downloading software (music, games, video) for recording by the viewer allows TV or PC subscribers to access multiple entertainment channels and preview them before making a purchase decision. The compression and store-and-forward capabilities of this system create an opportunity for OmniBox to pioneer the mass-market distribution of computer software, audio CDs, and even short videos. Although untested, this market has potential in the \$100 million-and-up market range by the year 2000 according to Aberdeen Group. The two key enablers will be \$300 (retail) CD-ROM recorders (estimated in 1998) and greater digital bandwidth into the home (1996 and after).

Digital Video Compression and Decompression

OmniBox has exclusive use of a digital video compression technology that is compatible with yet costs far less to install than the better known MPEG-II while delivering superior picture quality. Additionally, the encryption performed within this proprietary compression algorithm solves a major problem of broadcast operators especially — the incidence of stolen signals for pay-per-view programming, which in some cases can be as high as 60 percent. The proprietary technology enables broadcast operators to obtain a minimum of 10 high-quality digital video channels for each analog channel at 30 percent lower cost. While integrated analog/digital systems have been explored by others, OmniBox was the first to successfully demonstrate such a system in collaboration with Time Warner/Manhattan in 1995, and offers the only commercially available solution based on this technology. As discussed earlier, it is this side-by-side broadcasting capability that enables OmniBox's value proposition of allowing operators

to add digital channels incrementally without the need to overhaul their existing analog cable plant. The company will supply transmission equipment (encoders) and patented set-top receiver boxes (decoders) to operators incorporating this technology in the second phase of the OmniBox Network scheduled to roll out in 1998.

Key Partnerships and Alliances

Lucent Technologies provides the Inferno operating system that underlies OmniBox software in set-top boxes and in PCs. The two companies also have a co-marketing agreement and are negotiating a wide variety of business ventures.

Bank One is working with OmniBox to handle credit card transaction processing via the OmniBox Network, including real-time pay-per-view transactions, two-step purchases where the bank and a service provider such as Ticket Master must connect; mail-order transactions; and administrative functions such as shipping authorization and revenue reporting.

Summary

In the home electronic-commerce world where Goliath-sized companies play, OmniBox offers a broad spectrum of services in an elegantly simple architecture that rivals the most elaborate and expensive alternatives. The OmniBox value proposition of:

1. enabling interactivity to generate more revenues from new services and offering new services that leverage that interactivity;
2. implementing elegant, low-cost technology that reduces the cost of digital conversion and the price point for set-top boxes; and
3. leveraging satellite transmissions to eliminate problems of bandwidth, compatibility and line quality

represents the market's most affordable solution; one that will encourage even small operators to participate in the genesis of interactive TV and home-based electronic commerce. Cable TV operators who are clamoring for more usable, revenue-generating channels will be particularly attracted to the OmniBox approach, which requires no rewiring from the head-end to the set-top box. But ISPs, direct satellite, telco, and wireless broadcast operators will also find attractive and unique offerings from OmniBox.

The *OmniBox Network* will give content and merchandise providers new venues to distribute and sell their products; enable operators to add revenues from next-generation buying options for the home; and allow consumers to purchase a wide array of goods and services with interactive convenience.

With its field-tested system backed by patented technologies, strong value proposition of superior performance at the lowest market cost, seasoned management team, well-reasoned marketing strategy and market validation that includes signed contracts and letters of intent, OmniBox is ready in 1997 to move from a development-stage company to a marketing- and sales-driven company with a fully operational interactive broadcasting network.

For an equity investment of \$7 million, OmniBox's complete, ready-to-use system solution will give investors as well as customers early access to the potential multi-billion home-based electronic commerce market, with revenue-generating results that anticipate strongly profitable operations beginning with the first year of operations.

Part Five: Financials

OmniBox, Incorporated Financials***PRO-FORMA STATEMENT OF INCOME***

	Year 1	Year 2	Year 3	Year 4	Year 5
Revenues:					
Subscription	\$12,000	\$31,815	\$61,206	\$85,000	\$107,703
Advertising	209	1,110	3,204	5,934	9,398
Hardware Sales	10,100	50,164	45,214	40,149	35,118
Transaction Fees, net	5,461	19,305	46,568	77,606	114,723
Total Revenues	\$27,770	\$102,395	\$156,193	\$208,688	\$266,941
Cost of Sales:					
Subscription	\$0	\$0	\$0	\$0	\$0
Advertising	31	167	481	890	1,410
Hardware Sales	3,113	15,186	15,276	15,223	15,213
Transaction Fees	0	0	0	0	0
Total Cost of Sales	\$3,144	\$15,352	\$15,756	\$16,113	\$16,623
Gross Profit:					
Subscription	\$12,000	\$31,815	\$61,206	\$85,000	\$107,703
Advertising	178	944	2,724	5,043	7,988
Hardware Sales	6,987	34,979	29,939	24,926	19,905
Transaction Fees	5,461	19,305	46,568	77,606	114,723
Total Gross Profit	\$24,626	\$87,043	\$140,437	\$192,575	\$250,319
Fixed Costs:					
General & Administrative	\$750	\$1,500	\$1,750	\$2,000	\$2,250
Research & Development	500	2,000	4,000	10,000	12,000
Hardware Support	1,000	3,000	5,000	10,000	12,000
Engineering/Transportation	6,000	7,000	8,000	8,500	9,000
Marketing (10%)	2,777	10,240	15,619	20,869	26,694
Sales	750	1,500	1,750	2,000	2,250
Other	1,000	1,500	2,000	2,250	2,500
Total Fixed Costs	\$12,777	\$26,740	\$38,119	\$55,619	\$66,694
EBITDA	\$11,849	\$60,303	\$102,317	\$136,956	\$183,625
EBITDA %	42.7%	58.9%	65.5%	65.6%	68.8%
Depreciation	50	100	150	200	250
Interest	0	0	0	0	0
Pre-tax Income	11,799	60,203	102,167	136,756	183,375
Taxes	4,720	24,081	40,867	54,702	73,350
Net Income	\$7,080	\$36,122	\$61,300	\$82,054	\$110,025
EPS	\$0.64	\$3.25	\$5.52	\$7.38	\$9.90
Fully Diluted Shares	11,111	11,111	11,111	11,111	11,111

PRO-FORMA BALANCE SHEET

	Year 1	Year 2	Year 3	Year 4	Year 5
Current Assets:					
Cash	\$9,231	\$41,879	\$95,131	\$170,386	\$273,757
Accounts Receivable	<u>3,011</u>	<u>8,119</u>	<u>15,882</u>	<u>22,422</u>	<u>28,874</u>
Total Current Assets	<u>12,241</u>	<u>49,998</u>	<u>111,013</u>	<u>192,808</u>	<u>302,631</u>
Fixed Assets	500	1,000	1,500	2,000	2,500
Accumulated Depreciation	<u>(50)</u>	<u>(150)</u>	<u>(300)</u>	<u>(500)</u>	<u>(750)</u>
Net Fixed Assets	<u>450</u>	<u>850</u>	<u>1,200</u>	<u>1,500</u>	<u>1,750</u>
Total Assets	<u>12,691</u>	<u>50,848</u>	<u>112,213</u>	<u>194,308</u>	<u>304,381</u>
Current Liabilities:					
Accounts Payable	512	2,496	2,511	2,502	2,501
Accrued Expenses	<u>100</u>	<u>150</u>	<u>200</u>	<u>250</u>	<u>300</u>
Total Current Liabilities	<u>612</u>	<u>2,646</u>	<u>2,711</u>	<u>2,752</u>	<u>2,801</u>
Long Term Debt	0	0	0	0	0
Shareholders Equity:					
Common Stock	5,000	5,000	5,000	5,000	5,000
Retained Earnings	<u>7,080</u>	<u>43,201</u>	<u>104,502</u>	<u>186,556</u>	<u>296,580</u>
Total Shareholders Equity	<u>12,080</u>	<u>48,201</u>	<u>109,502</u>	<u>191,556</u>	<u>301,580</u>
Total Liabilities & Shareholders Equity	<u>12,691</u>	<u>50,848</u>	<u>112,213</u>	<u>194,308</u>	<u>304,381</u>

PRO-FORMA STATEMENT OF CASH FLOW

	Year 1	Year 2	Year 3	Year 4	Year 5
Cash Flows from Operating Activities:					
Net Income	\$7,080	\$36,122	\$61,300	\$82,054	\$110,025
Adjustments to Reconcile Profit (Loss) to Net Cash Provided By Operating Activities:					
Depreciation & Amortization	50	100	150	200	250
Interest Expense	0	0	0	0	0
Capital Expenditures	(500)	(500)	(500)	(500)	(500)
Working Capital Changes					
Accounts Receivable	(3,011)	(5,108)	(7,763)	(6,540)	(6,452)
Accounts Payable and Accrued Liabilities	612	2,035	65	41	48
Net Cash Provided By Operating Activities	4,231	32,649	53,252	75,255	103,371
Cash Flows From Financing Activities:					
Interest Expense	0	0	0	0	0
Principal Payments					
Common Stock Contribution	5,000				
Net Cash Provided By Financing Activities	5,000	0	0	0	0
Cash Flows From Investing Activities:					
Net Cash Used In Investing Activities	0	0	0	0	0
Increase (Decrease) In Cash	9,231	32,649	53,252	75,255	103,371
Cash at Beginning of Year	0	9,231	41,879	95,131	170,386
Cash at End of Year	9,231	41,879	95,131	170,386	273,757

ASSUMPTIONS FOR PRO-FORMA STATEMENTS

TRANSACTION ASSUMPTIONS

Equity Invested	\$5,000
Ownership % for Equity Invested	10.0%
Fully Diluted Shares pre-investment	10,000 {As of December xx, 1996 }
New Shares to Investors	<u>1,111</u>
<i>Fully Diluted Shares post-investment</i>	<u>11,111</u>
Imputed Valuation	<u>\$50,000</u>
<i>Imputed Price per Share</i>	<u>\$4.50</u>
Debt Financing:	
Principal Amount	\$0
Rate	0.0%
Term	0 Yrs.
Amortization	0 Yrs.

ASSUMPTIONS FOR PRO-FORMA STATEMENTS**OPERATIONAL ASSUMPTIONS**

	Year 1	Year 2	Year 3	Year 4	Year 5
<u>Subscriber Universe (Homes Passed):</u>					
United States	100,000	101,000	102,010	103,030	104,060
Europe	50,000	50,500	51,005	51,515	52,030
Asia	200,000	202,000	204,020	206,060	208,121
All Other Territories	25,000	25,250	25,503	25,758	26,015
Total Subscriber Universe	375,000	378,750	382,538	386,363	390,227
Growth in Subscriber Universe		1.0%	1.0%	1.0%	1.0%
Penetration %:					
United States	0.50%	1.00%	1.50%	1.75%	2.00%
Europe	0.00%	0.50%	0.75%	1.00%	1.25%
Asia	0.00%	0.00%	0.25%	0.50%	0.75%
All Other Territories	0.00%	0.25%	0.50%	0.75%	0.75%
Subscribers:					
United States	500	1,010	1,530	1,803	2,081
Europe	0	253	383	515	650
Asia	0	0	510	1,030	1,561
All Other Territories	0	63	128	193	195
Total Subscribers	500	1,326	2,550	3,542	4,488
New Subscribers	500	826	1,225	991	946
Revenue per Subscriber per Year	\$24.00	\$24.00	\$24.00	\$24.00	\$24.00
Collection Period (in Days)	90	90	90	90	90
<u>Advertising Revenues</u>					
Spots per Hour per Channel	10	10	10	10	10
# of Channels	3	3	3	3	3
# of Subscribers	500	1,326	2,550	3,542	4,488
# of Viable Hours	18	18	18	18	18
# of Days per Year	365	365	365	365	365
Total Available Spots	197,100	197,100	197,100	197,100	197,100
Sellout %	5.0%	10.0%	15.0%	20.0%	25.0%
Spots Sold	9,855	19,710	29,565	39,420	49,275
Cost per Thousand Subscribers	\$0.05	\$0.05	\$0.05	\$0.05	\$0.05
Advertising Agency %	15.0%	15.0%	15.0%	15.0%	15.0%
Advertising Revenues	\$209	\$1,110	\$3,204	\$5,934	\$9,398
Collection Period (in Days)	90	90	90	90	90
Sales Commission %	15.0%	15.0%	15.0%	15.0%	15.0%
<u>Hardware Sales:</u>					
# of New Subscribers	500	826	1,225	991	946
Sale Price per Decoder	\$199	\$199	\$175	\$150	\$125
Cost per Decoder	\$225	\$225	\$225	\$225	\$225
Decoder Profits (in '000's)	(\$13)	(\$21)	(\$61)	(\$74)	(\$95)
# of New Channels Added by Operators	1,000	5,000	5,000	5,000	5,000
Sale Price per Encoder	\$10,000	\$10,000	\$9,000	\$8,000	\$7,000
Cost per Encoder	\$3,000	\$3,000	\$3,000	\$3,000	\$3,000
Encoder Profits (in '000's)	\$7,000	\$35,000	\$30,000	\$25,000	\$20,000
Payment in Days	60	60	60	60	60

Transaction Fees:***Satellite Jukebox (Music):***

Retail Sale Price per CD	\$12.95	\$12.95	\$12.95	\$12.95	\$12.95
Credit Card Commission Fees	3.0%	3.0%	3.0%	3.0%	3.0%
Patent Royalties	5.0%	5.0%	5.0%	5.0%	5.0%
Net Sales	\$11.91	\$11.91	\$11.91	\$11.91	\$11.91
Typical Gross Revenue to Labels	\$7.00	\$7.00	\$7.00	\$7.00	\$7.00
Manufacturing Costs Charged to Labels	(\$1.50)	(\$1.50)	(\$1.50)	(\$1.50)	(\$1.50)
Gross Profit to Omnibox	\$6.41	\$6.41	\$6.41	\$6.41	\$6.41
% due to Operator	25.0%	25.0%	25.0%	25.0%	25.0%
Net Transaction Fee to Omnibox per CD	\$4.81	\$4.81	\$4.81	\$4.81	\$4.81
# of Transactions per Subscriber per Year	12	12	12	12	12
% of Subscribers Using Service	15.0%	20.0%	25.0%	30.0%	35.0%
# of CD's Sold	900	3,182	7,651	12,750	18,848

Mailbox (Home Shopping):

Average Sale Price per Item	\$25.00	\$25.00	\$25.00	\$25.00	\$25.00
Credit Card Commission Fees	3.0%	3.0%	3.0%	3.0%	3.0%
Patent Royalties	5.0%	5.0%	5.0%	5.0%	5.0%
Net Sales	\$23.00	\$23.00	\$23.00	\$23.00	\$23.00
Manufacturing Costs	50.0%	50.0%	50.0%	50.0%	50.0%
Gross Profit	\$11.50	\$11.50	\$11.75	\$11.75	\$11.75
Profit % to Manufacturer	90.0%	90.0%	90.0%	90.0%	90.0%
Gross Profit to Omnibox	\$1.15	\$1.15	\$1.18	\$1.18	\$1.18
% due to Operator	25.0%	25.0%	25.0%	25.0%	25.0%
Net Transaction Fee to Omnibox per Item	\$0.86	\$0.86	\$0.88	\$0.88	\$0.88
# of Transactions per Subscriber per Year	12	12	12	12	12
% of Subscribers Using Service	15.0%	20.0%	25.0%	30.0%	35.0%
# of Items Sold	900	3,182	7,651	12,750	18,848

Box Office (Movies):

Sale Price per Movie	\$3.95	\$3.95	\$3.95	\$3.95	\$3.95
Credit Card Commission Fees	3.0%	3.0%	3.0%	3.0%	3.0%
Patent Royalties	5.0%	5.0%	5.0%	5.0%	5.0%
Net Sales	\$3.63	\$3.63	\$3.63	\$3.63	\$3.63
Profit % to Studio	45.0%	45.0%	45.0%	45.0%	45.0%
Profit % to Cable Operator	45.0%	45.0%	45.0%	45.0%	45.0%
Net Profit to Omnibox per Movie	\$0.40	\$0.40	\$0.40	\$0.40	\$0.40
# of Transactions per Subscriber per Year	12	12	12	12	12
% of Subscribers Using Service	15.0%	20.0%	25.0%	30.0%	35.0%
# of Movies	900	3,182	7,651	12,750	18,848

INTERNAL RATE OF RETURN ANALYSIS

	EBITDA	P/E
Year 5 Results	\$183,625	\$9.90
Multiple	<u>10.0</u>	<u>15.0</u>
Enterprise Value	1,836,247	N/A
Cash	273,757	N/A
Debt	<u>0</u>	N/A
Equity Value	2,110,004	
Shares Outstanding	<u>11,111</u>	
Per Share Price	<u>\$189.90</u>	<u>\$148.53</u>
Imputed Value on Day 1	<u>\$4.50</u>	<u>\$4.50</u>
IRR	4120.0%	3200.7%